

Q2 2025

Custom Managed Portfolios

QV Small Cap (RI)

Quick facts

Asset class:

Canadian Small-Mid Cap

Management style:

GARP¹

Number of holdings:

38

Sub-advisor:

QV Investors Inc.

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

01-Oct-1997



What does the strategy invest in?

This strategy will mostly invest in equities of Canadian small to mid capitalization companies. The mandate also allows for a very limited exposure to US equities. QV adheres to strict Socially Responsible Investing (RI) principles when it selects securities for this mandate.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	13.4%	15.6%	26.1%	18.2%	18.3%	10.1%	11.6%
Benchmark ⁵	11.7%	12.7%	23.1%	13.8%	15.7%	8.0%	6.6%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	14.5%	13.2%	0.6%	26.0%	4.2%	17.4%	-9.1%
Benchmark ⁵	17.9%	4.7%	-9.2%	24.8%	14.4%	19.2%	-18.2%

Standard deviation	9.3%	Sortino ratio	1.31	Upside capture	75.5%
Sharpe ratio	1.07	Beta (Equity)	0.75	Downside capture	43.0%

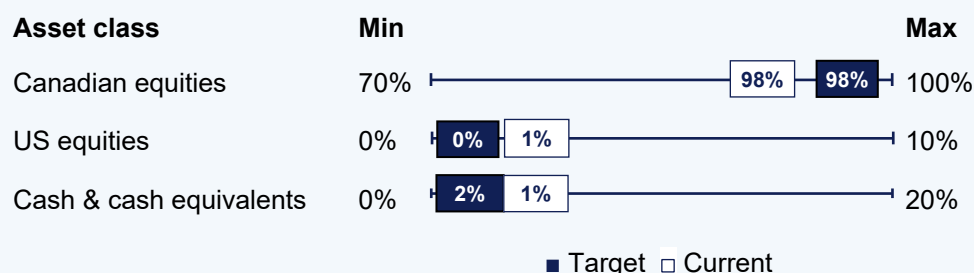
Largest holdings

1. PET VALU HOLDINGS LTD	5.0%	6. WINPAK LTD	4.4%
2. DEFINITY FINL CORP	4.8%	7. EL FNCL CORP LTD	4.2%
3. ALTAGAS LTD	4.7%	8. LASSONDE INDS INC CL A	4.2%
4. IA FINANCIAL CORP INC	4.5%	9. MULLEN GROUP LTD	4.1%
5. PARKLAND CORP	4.4%	10. SECURE WASTE INFRA	4.1%

Portfolio attributes

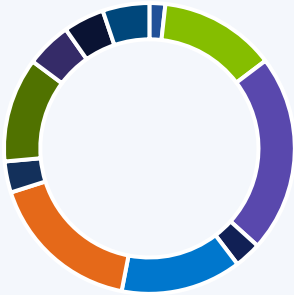
Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.5%	765.54	16.35	1.68	1.55	4.84B	43.5%

Target allocations



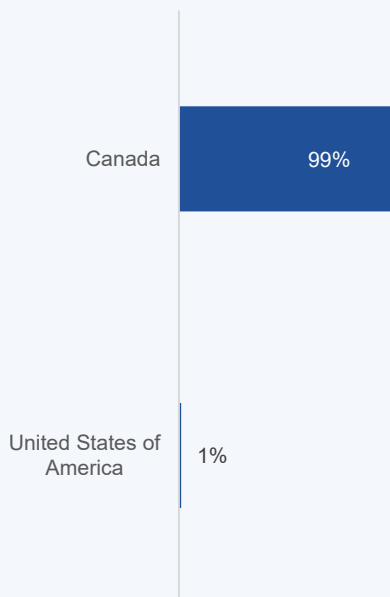
Quarterly commentary

Sector breakdown



- Communication Services
- Materials
- Financials
- Information Technology
- Energy
- Industrials
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Real Estate

Geographic allocation



Equities

North American Markets

Canadian equities advanced firmly during the second quarter of 2025, with the S&P/TSX Composite Index rising by 8.53%. A significant driver of this advance was a broad-based rally, with smaller-cap stocks notably outperforming their large-cap counterparts. The S&P/TSX SmallCap Index soared 11.75%, substantially ahead of the S&P/TSX 60 Index's gain of 7.59%. This expansion in market breadth reflected increasing investor risk appetite and optimism regarding Canada's economic prospects.

Domestic factors played a crucial role in bolstering Canadian equity performance during the quarter. The resumption of U.S.-Canada trade negotiations alleviated market uncertainties, while reduced political risk fostered a more favorable investment climate. This optimism was further supported by resilient consumer spending, robust corporate earnings in the technology sector, and a recovery in financials, particularly as higher interest rates supported bank profitability. Sector performance varied notably throughout the quarter. Information Technology led the way, buoyed by strong earnings results and continued enthusiasm surrounding artificial intelligence and digital transformation themes. Consumer Discretionary stocks benefited from a rebound in consumer spending, while Financials posted healthy gains amid rising interest margins and improved loan growth. Conversely, the Energy sector struggled with declining oil prices, ending the quarter near USD 65 per barrel. Health Care and Communication Services also lagged, weighed down by regulatory headwinds and shifting consumer preferences.

In Canadian dollar terms, domestic equities outpaced U.S. markets, as a strengthening loonie reduced the translation of foreign returns. This relative strength underlines the importance of currency considerations in global investing and highlights Canada's resilient performance amid a complex macroeconomic backdrop.

U.S. equities also delivered strong returns in Q2 2025. The S&P 500 Index advanced by 10.94%, marking one of its best quarterly performances in recent years. The technology-heavy NASDAQ Composite outpaced all major U.S. benchmarks with a remarkable 17.96% gain, driven by outsized gains in mega-cap technology firms and growth-oriented companies.

Investor optimism surrounding the Federal Reserve's potential pivot toward rate cuts later in the year, coupled with easing trade war tensions, fueled risk appetite. High-profile technology giants such as Broadcom and Oracle saw significant price appreciation, with Oracle benefiting from a landmark cloud services deal. The rally, however, was largely concentrated among a narrow group of stocks, raising concerns about market breadth and valuation sustainability.

Sector-wise, Information Technology, Communication Services, and Industrials led the charge, supported by robust earnings and momentum in areas like artificial intelligence, cloud computing, and infrastructure investment. Defensive sectors, including Real Estate and Health Care, underperformed due to rising interest rates and a shift toward more cyclical, growth-oriented investments. Energy stocks also struggled, reflecting a sharp drop in U.S. crude oil prices. The Dow Jones Industrial Average posted a more modest gain of 5.46%, reflecting its heavier exposure to traditional industrial and value-oriented stocks. Small-cap equities, as measured by the Russell 2000 Index, underperformed large-cap peers, advancing by 8.50%. The narrowing leadership among a handful of "Magnificent Seven" tech stocks remained a focal point for investors concerned about market concentration risks.

International Developed Markets

International developed equity markets delivered mixed results during the quarter, with notable performance dispersion across countries and sectors. The MSCI EAFE Index, which tracks developed markets outside North America, achieved a low double-digit gain, supported by declining bond yields and improving trade sentiment.

European equities benefited from a favorable macroeconomic backdrop, including falling inflation and fiscal stimulus measures. Countries such as Israel, Hong Kong, and Portugal stood out as top performers. Israel's robust technology sector staged a strong rebound, while Hong Kong's market rallied on expectations of increased policy support from mainland China. Portugal saw gains driven by strength in its banking and energy sectors.

Conversely, Denmark, France, and Switzerland lagged their developed market peers. Denmark faced challenges from underperformance in its pharmaceutical and renewable energy sectors, while France struggled with softness in luxury goods demand and weaker industrial output. Switzerland's defensive market profile and a strengthening Swiss franc weighed on equity performance, particularly for export-oriented companies.

European markets broadly benefited from investor optimism about improving economic conditions and the potential resolution of global trade tensions. Additionally, easing bond yields provided a tailwind for equity valuations, encouraging risk-taking behavior.

Emerging Markets

Emerging market equities outperformed their developed market counterparts in Q2 2025, with the MSCI Emerging Markets Index climbing 11.99%. This strong showing reflected a combination of favorable macroeconomic trends, improving investor sentiment, and significant country-specific catalysts.

South Korea emerged as a top performer among emerging markets, driven by a rally in semiconductor and battery-related stocks. The global technology upcycle, coupled with strong demand for electric vehicle components, bolstered South Korea's equity market. Mexico also delivered robust returns, supported by steady economic growth, favorable nearshoring trends, and improving investor confidence.

Brazil's market gained on the back of rising commodity exports and signs of easing inflation, which increased the likelihood of interest rate cuts. These developments attracted inflows into Brazilian assets and lifted equity prices.

In contrast, some emerging markets faced headwinds during the quarter. China's equity market underperformed as the anticipated post-pandemic economic recovery lost momentum. Investor sentiment remained cautious amid concerns about slowing growth and ongoing regulatory pressures on key sectors. South Africa and Indonesia also posted weaker returns, reflecting domestic challenges such as energy shortages, currency volatility, and declining commodity prices. Overall, emerging markets benefitted from a supportive global liquidity environment and a weakening U.S. dollar, which eased financial conditions for countries with significant external debt exposure. However, the wide dispersion of returns across countries highlighted the importance of careful country selection and risk management within the emerging markets universe.

Fixed Income

Global fixed income markets produced mixed results in Q2 2025, reflecting divergent economic conditions and monetary policy expectations across regions. Outside North America, the Bloomberg Global Aggregate ex-US Index advanced 7.3%, supported by sharp declines in bond yields across Europe and the United Kingdom. Softer inflation prints and dovish signals from central banks, including the European Central Bank and the Bank of England, contributed to a rally in sovereign debt.

In the United States, U.S. Treasuries also gained, albeit to a lesser extent. The market responded to growing expectations that the Federal Reserve would pivot toward rate cuts in the latter half of the year. The two-year Treasury yield declined sharply, reflecting investors' conviction that monetary tightening had peaked. Longer-dated yields moved within a narrower range, balancing inflation concerns with strong demand for U.S. government debt.

In contrast, Canadian fixed income markets underperformed relative to global peers. The Bloomberg Canada Aggregate Index declined 0.7%, as the Bank of Canada's relatively hawkish stance pushed bond yields higher. The Canadian government yield curve steepened, with the two-year yield rising to approximately 2.59% and the ten-year yield climbing to around 3.27% by quarter-end. Investment-grade corporate bonds delivered a modest positive return of 0.54%, supported by stable credit spreads and shorter durations. However, high-yield bonds suffered significant losses, with the Bloomberg Canada High Yield Bond Index plunging -4.74%. This stark underperformance reflected a combination of rising risk-free rates and widening credit spreads, particularly among lower-rated issuers.

Currencies

Currency markets experienced notable shifts during the quarter, as the U.S. dollar weakened against a broad basket of peers. The U.S. Dollar Index (DXY) registered its longest consecutive monthly decline since 2017, driven by diminished safe-haven demand and expectations that the Federal Reserve had reached the end of its tightening cycle.

The Canadian dollar emerged as a standout performer, appreciating by 5.41% versus the U.S. dollar. This strength was underpinned by Canada's robust commodity export profile, particularly in metals and agriculture, and the Bank of Canada's comparatively less dovish monetary policy stance.

Other major currencies displayed mixed performance. The euro, British pound, and New Zealand dollar faced headwinds from domestic growth concerns and tighter fiscal constraints. By contrast, the Mexican peso and Swiss franc recorded notable gains. The peso benefited from elevated local interest rates and solid economic fundamentals, while the Swiss franc attracted safe-haven flows amid geopolitical uncertainties and rising Swiss yields.

The U.S. dollar's retreat during Q2 2025 provided a tailwind for international equity and fixed income returns when translated into Canadian dollars, enhancing the appeal of global diversification.

Energy

Energy markets experienced significant volatility during the quarter, with crude oil prices relinquishing earlier gains. West Texas Intermediate (WTI) and Brent crude futures fell by 8.9% and 9.5%, respectively, closing near USD 65 and USD 68 per barrel. Early-quarter weakness stemmed from ample global supply and uncertain demand, exemplified by unexpected builds in U.S. gasoline inventories. Geopolitical tensions in the Middle East, including a brief conflict between Israel and Iran, triggered a temporary price spike. However, a swift ceasefire quickly defused risk premiums, leading to sharp price declines.

Market sentiment was further pressured by expectations that OPEC+ would ease production cuts later in the year. Reports of capacity expansions and anticipated supply increases weighed on oil prices. Additionally, concerns about unregulated Iranian crude exports intensified supply-related anxieties. Despite fluctuating geopolitical risks, oil markets remained well-supplied, emphasizing the ongoing sensitivity of energy prices to both policy shifts and demand conditions.

Natural gas prices fell even more sharply, down 16.1% for the quarter. Record U.S. production levels, combined with mild weather and subdued demand, drove prices lower. Although liquefied natural gas (LNG) exports remained strong, they were insufficient to absorb the domestic supply glut. By quarter-end, Henry Hub gas prices settled near USD 3.46 per million British thermal units (MMBtu).



Investment manager overview

QV Investors Inc. is a Calgary-based portfolio management firm, founded in 1996, that is focused on balanced, Canadian equity, and fixed income portfolios for individuals, not-for-profit organizations, and institutional investors. QV stands for Quality and Value. The firm was founded by Leighton F. Pullen and is 100% employee owned.

Investment philosophy

In managing equities, QV believes that an emphasis on risk analysis and realistic expectations for growth are imperative. They place a large weighting on the quality of management and buy companies that demonstrate proven records, focused strategies, competitive products and services and superior financial quality. They further believe that a keen eye to value disciplines their investing. Their depth of experience, independent research, and comparative and measured analysis provides the base for high quality growth over the long term.

Investment process and risk controls

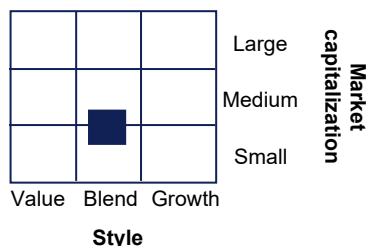
The QV uses fundamental research to identify corporate management teams who are able to sustain or improve the return on shareholder's equity and to create growth on a per share basis. In their analysis, they examine the executives' ownership, their integrity and vision, the promise of the business in a global context, the record of growth in shareholder's equity, earnings, and dividends and the corporation's financial strength, and the price paid for growth and/or assets. Their research process is internal with all managers assigned specific responsibilities and engaged in the selection and evaluation process.

Analysts meet daily to review analysis, monitor holdings, and examine the changing market and corporate fundamentals. They employ an open office environment to promote continuous communication of corporate news and developments.

Risks are governed by portfolio management and the continuous measurement of the character of the total portfolio. Specifically, they monitor the portfolio's diversification and quantitative characteristics. These include measures of financial quality, value and growth ratios, and sector and industry weightings. All of these are compared against the appropriate benchmarks. Their selections and weightings are adjusted in accordance with the prospects for economic growth and the valuations placed on the markets and securities.

QV maintains return on equity and other characteristics of the portfolio equal to or better than the character of the market as a whole and consistent with their global outlook. Such measures allow them to compare potential additions of new investment opportunities and reduce risk in aggressive markets.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at June 30, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P TSX Small Cap Index TR

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